IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an application for Restitutio in integrum and/or Revision in terms of Article 138 of the Constitution.

(In the District Court of Nugegoda)

HNB Finance PLC,
(Previously known as HNB Finance Limited and having its registered office at)
No.168,
Nawala Road,
Nugegoda.

PLAINTIFF

DC Nugegoda Case No. DR/246/2021
Court of Appeal Case No. RII/35/2024

Vs.

1. **Wanasinghe Mudiyanselage Anusha Malkanthi Wanasinghe,**
   Kirindiwatta,
   Palagala.

2. **Wanasinghe Mudiyanselage Priyashantha Wanasinghe,**
   Kirindiwatta,
   Palagala.

3. **Damith Anuradha Senarath,**
   No.43,
   Galnewa Road,
   Galnewa.

DEFENDANTS

AND NOW BETWEEN

(In the Court of Appeal)

1. **Wanasinghe Mudiyanselage Anusha Malkanthi Wanasinghe,**
   Kirindiwatta,
   Palagala.

2. **Wanasinghe Mudiyanselage Priyashantha Wanasinghe,**
   Kirindiwatta,
   Palagala.

3. **Damith Anuradha Senarath,**
   No.43,
   Galnewa Road,
   Galnewa.

DEFENDANTS-PETITIONERS

Vs.

HNB Finance PLC,
(Previously known as HNB Finance Limited and having its registered office at)
No.168,
Nawala Road,
Nugegoda.

PLAINTIFF-RESPONDENT

Before: **R. Gurusinghe J.**

&

Dr. Sumudu Premachandra J.

Counsel: Varuna Nanayakkara for the 1st, 2nd and 3rd Defendant-Petitioners.

Dhanya Gunawardena for the Plaintiff-Respondent.

Written Submissions: 26/03/2026 by the Petitioner.
By the Respondents – Not filed.

Argued On: 03/02/2026.

Judgement On: 27/03/2026.

Dr. Sumudu Premachandra J.

1] This petition was filed by the Petitioners and seek to revise and/or Restitutio-in-Integrum regarding an order dated 27/11/2023 (Marked as P11), which was delivered by the learned District Judge of Nugegoda.

2] The legal battle originated from a debt recovery action (Case No: DR/246/2021) instituted by HNB Finance PLC against three Petitioners under the Debt Recovery (Special Provisions) Act No. 2 of 1990. The Petitioners challenge the District Judge's decision to make a decree nisi absolute, effectively denying them the right to defend the case.

3] The background involves a loan of Rs. 3 million obtained by the 1st Petitioner, which the Respondent claimed grew to a debt of over Rs. 3.26 million (P1, P2). While the 1st and 2nd Petitioners timeously sought leave to appear and defend unconditionally (P3, P4), the 3rd Petitioner failed to appear due to ill health, resulting in a decree nisi being made absolute against him (P5). Although the 3rd Petitioner later moved to set aside this decree (P6, P7), and all parties filed written submissions (P8, P9, P10), the District Court ultimately refused leave to defend the first 2 Petitioners and rejected the 3rd Petitioner's application.

4] The Petitioners argue that the impugned order (P11) is a "grave miscarriage of justice" and "shocks the conscience of the court." They contend the learned Judge failed to recognize a prima facie sustainable defense and erred by making the decree absolute without allowing the Petitioners to test the credibility of the Respondent's evidence. They specifically highlight that the Court ignored principles of natural justice and audi alteram partem (the right to be heard) by ordering a staggering payment exceeding Rs. 3 million without a trial.

5] The Defendant-Petitioners pray that this Court be pleased to:-

a) Issue notice on the Respondents;

b) Set aside and/or vary the order dated 27/11/2023 of the Learned District Judge of Nugegoda marked P11;

c) Make an order directing the Learned District Judge to allow the Petitioners to file their answers unconditionally;

Or in the alternative

Make an order directing the Learned District Judge to allow the Petitioners to file their answers conditionally;

d) Grant costs; and

e) Grant such other and further relief that Your Lordships' Court shall seem meet.

5] In resisting the application, the Respondent, HNB Finance PLC, states that this case initiated under the Debt Recovery (Special Provisions) Act No. 2 of 1990 and that the 1st Petitioner applied for and received a loan facility of 3,000,000 Rupees, which he subsequently failed to repay according to the agreed terms. Consequently, the Respondent argues that the 1st Petitioner, along with the 2nd and 3rd Petitioners who acted as guarantors, defaulted on their financial obligations, prompting the legal action for recovery.

6] The Respondent denies all allegations made by the Petitioners, stating their application as "frivolous, baseless, and unjustifiable." They maintain that the District Judge acted strictly within the legal parameters of the Debt Recovery Act. Specifically, the Respondent highlights Section 6 of the Act, which stipulates that a defendant cannot appear or show cause against a Decree Nisi unless they obtain leave from the court. Such leave is typically contingent upon the defendant paying the stipulated amount into the court, providing additional security, or raising a "valid sustainable defense," all of which the Respondent claims the Petitioners failed to do.

7] The Respondent argues that the Petitioners were given ample opportunity to fulfill their obligations and show cause but neglected to do so. Because the Debt Recovery Act is a "Special Law" designed to facilitate the expeditious recovery of money for registered lending institutions, the Respondent contends the Petitioners have no right to the reliefs they seek.

8] Section 6(2) of Debt Recovery (Special Provisions) Act No. 2 of 1990 enacts;

> *"The court shall upon the filing by the defendant of* ***an application for leave to appear and show cause*** *supported by affidavit which shall deal specifically with the plaintiff's claim and* ***state clearly and concisely what the defence to the claim is and what facts are relied upon to support it****, and after giving the defendant an opportunity of being heard, grant leave to appear and show cause against the decree nisi, either*
>
> *a. upon the defendant paying into court the sum mentioned in the decree nisi; or*
> *b. upon the defendant furnishing such security as to the court may appear reasonable and sufficient for satisfying the sum mentioned in the decree nisi in the event of it being made absolute; or*
> *c. upon the court being satisfied on the contents of the affidavit filed,* ***that they disclose a defense which is prima facie sustainable*** *and, on such terms, as to security, framing and recording of issues, or otherwise as the court thinks fit"* [Emphasis is added] .

9] In ***People's Bank v. Lanka Queen International Private Limited*** [1999] 1 SLR 233 His Lordship J.A.N. De Silva J (as he then was), observed as follows;

> *"When an application is made for leave to appear, the Court must decide on one of the three alternatives in Section 6(2). These are:*
> *(a) the court may order the defendant to pay into court the sum mentioned in the decree Nisi. Thus, even where the requirements as stated above are complied with, the court has the power and the authority to order the defendant to pay the full sum mentioned in the decree Nisi before permitting the defendant to appear and defend.*
> *(b) Alternative to (a) above, the court can order the defendant to furnish security which, in the opinion of the court is reasonable and sufficient to satisfy the decree Nisi in the event it being made absolute. The difference between this provision and the (a) above is that instead of paying the full sum mentioned in the decree Nisi, it will be sufficient for the defendant to furnish security, such as banker's draft, and then defend the action.*
> *(c) the third alternative is where the court is satisfied on the contents of the affidavit filed, that they disclose a defence which is prima facie sustainable and, on such terms, as to security, framing of issues or otherwise permit the defendant to defend the action.*
>
> *Thus, it is imperative that before the court acts on section 6 (2) (c) it has to be satisfied; i. with the contents of the affidavit filed by the defendant; ii. that the contents disclose a defence which is prima facie sustainable; AND iii. determine the amount of security to be furnished by the defendant, and permit framing and recording of issues or otherwise as the court thinks fit."*

10] Earlier to the above case, in ***Ramanayake v. Sampath Bank Limited and Others***, [1993] 1 SLR 145, H/L WIJEYARATNE, J. held that;

> *"(7) The court has to decide which of the alternatives under section 6 (2) - whether (a), (b) or (c) - has to be followed and the court has to exercise its discretion judicially. The court must briefly examine the facts of the case, set out the substance of the defence and disclose reasons in support of the order.*
>
> *(9) The decree absolute entered against the 3rd defendant-petitioner for non-appearance cannot be challenged on the merits in the trial court but could have been set aside by curing the default by taking steps under section 389 of the Civil Procedure Code by summary procedure within a reasonable time. This was not done and no excuse was given for the default of appearance and for the delay in filing the present application"*

11] Thus, it is trite law that the Petitioner should show prima facie sustainable defence at the decree Nisi stage when appearing on summons. Further, in ***Kiran Atapattu v. Pan Asia Bank Ltd*** [2005] 2 Sri LR 276 at 283, while dismissing the application, H/L Wimalachandra J. stated:

> *"The section 6(2) of the Debt Recovery (Special Provisions) Act provides for the affidavit of the defendant to deal specifically with the plaintiff's claim on its merits. In the instant case the defendant has relied on technical objections and not revealed his defence, if he has any, to the claim made by the plaintiff. He has taken refuge mostly on the technical objections set out in his affidavit. The defendant has not set up any plausible defence relating to a triable issue"*

12] Thus, no technical grounds can be taken as a valid sustainable defence. H/L Justice Tilakawardane in ***Amaradasa Liyanage vs. Sampath Bank PLC*** (S.C. Appeal No. 126/2012, S.C Minutes 04.04.2014) considered the ambit and purpose of the Act as;

> *"The ambit and purpose of the Recovery of Loans by Banks Act is, in essence, to recover monies due to the Bank while ensuring that the Bank does not enjoy an unjust enrichment. The provisions of the Act, by allowing parate execution, is to facilitate the process of collecting monies due, without lengthy court proceedings, and to do so in a fair and reasonable manner. This objective should therefore not be hindered by minor procedural irregularities… for such minor irregularities cannot have much impact on the rights of the borrower. Minor procedural irregularities cannot, further, be grounds upon which actions may be instituted for such actions would only amount to the abuse of the process of Court which must not be allowed."*

13] More recently in ***Chemisales Holding (Pvt) Ltd vs People's Bank*** SC/APPEAL/148/2019, Decided on: 03/04/2025, His Lordship Justice Samayawardena elaborated what a prima facie defence is and stated as follows;

"The granting of leave to appear and show cause is not automatic. In the first place, the defendant shall file an application supported by affidavit in which he shall: (a) deal specifically with the plaintiff's claim; (b) state clearly and concisely what the defence to the claim is and; (c) what facts are relied upon to support it.

In deciding the question of granting leave to appear and show cause, the Court shall thereafter afford the defendant an opportunity to be heard, which is typically done by way of written submissions.

"The defence disclosed shall not be a mere defence but shall be one which is "prima facie sustainable". This is different from "prima facie defence" or "sustainable defence". What is required is "prima facie sustainable defence". The term "prima facie" is a Latin term which means "at first sight". This means, the Court shall be satisfied that the defence disclosed is sustainable at first sight, not after the trial.

In cases filed under Debt Recovery (Special Provisions) Act, there is no place for technical objections, bare denials, evasive defences, or other vague and imprecise responses, designed to prolong the proceedings. The Act has been designed for speedy disposal of cases in the interests of trade and commerce. In terms of section 6(2), the defendant "shall deal specifically with the plaintiff's claim and state clearly and concisely what the defence to the claim is and what facts are relied upon to support it". This provision imposes a legal obligation on the defendant to engage directly and substantively with the plaintiff's claim, addressing it on its merits, not on technical grounds. The defence must be articulated with clarity and precision, specifying not only the nature of the defence but also the particular facts upon which it is based, thereby demonstrating its prima facie sustainability.

…The plaintiff can support the application for decree nisi, ex parte. Section 4(2) sets out the matters the Court shall consider when determining whether decree nisi shall be entered.

Section 6(3) reads as follows: "Where the defendant either fails to appear and show cause or having appeared, his application to show cause is refused, the court shall make the decree nisi absolute."

14] The idea of the legislature is clearly discussed in ***THE DERT RECOVFRY (SPECIAL PROVISIONS) BILL***, considered under Article 122(1) (b) of the Constitution, S. C. Special Determination No. 1/90, held on 04/01/1990. Their Lordships, H. A. G. de Silva, J., Bandaranayake, J., Fernando J., Dheeraratne, J., and Goonewardene, A. J. held;

"It needs to be emphasised that legal provisions for expeditious recovery of debts-no before they fall due, but after default by the borrowers-by banking and financial institutions are not burdens or punitive measures imposed on

borrowers. Expeditious debt recovery is, in the long-term, beneficial to borrowers in general for at least two reasons.
Firstly, expeditious repayment or recovery of debts enhances the ability of lending institutions to lend to other borrowers. Secondly, the Law's delays in respect or debt recovery, howsoever and by whomsoever caused, tend to make lending institutions much more cautious and slow in lending: by refusing some applications, by requiring higher security from some borrowers, and by insisting on more stringent terms as to interest from other borrowers. Expeditious debt recovery will thus tend to make credit available more readily and on easier terms, and will maximise the flow of money into the economy. Undoubtedly, there is a legitimate national interest in expediting the recovery of debts by lending institutions engaged in the business of providing credit, and thereby stimulating the national economy and national development. The objections to the constitutionality of the Bill must be considered in that context."

15] The Petitioners in the lower court disputed the veracity of the account statements. If someone disputes the bank statements he should prove it. It is to be noted these statements are monthly issued and if any dispute arises, those should be addressed with the banking authorities at the very inception. Thus, it cannot be taken as a prima facie sustainable defence. Thus, the Court shall be satisfied that the defence disclosed is sustainable at first sight, not after the trial. The learned trial judge has noted that the Petitioner has not tendered any evidence of the dispute bank balance. Mere assertion that the bank balance has been wrongly calculated, and it cannot be accepted cannot be a valid reason to give leave.

16] In ***SOMAT1LAKA BANDARA VS PEOPLES BANK***, [2005] 1 Sri L. R. 10, H/L WIMALACHANDRA, J, held that final appeal lies against the order absolute. His Lordship notes;

"Therefore, upon a plain reading of the aforesaid sections it appears that once the decree absolute is entered, it will have the effect of a final judgment in this case. The defendant has filed a leave to appeal application from the order dated 19.12.2003 in terms of Section 757 of the Civil Procedure Code…

Accordingly, if the order has the effect of finally disposing of the rights of the parties, it has the effect of a final judgment. In the instant case the impugned order dated 17.12.2003 finally disposes of the rights of the parties and only the execution of the decree remains. In the circumstances, I am of the view that the order dated 19.12.2003 is a final judgment in terms of section 754(5) of the Civil Procedure Code and hence the defendant is not entitled to file a leave to appeal application against this order in terms of Section 754(2) of the Civil Procedure Code."

17] The Petitioner in the paragraph 38 of the Petition, has clearly said that Leave to Appeal Application has been filed against P11, impugned order at the Civil Appellate high Court of Mount Lavinia bearing No. WA/HCCA/MT/68/2023(L/A) and it is yet to be supported.

18] Thus, the Petitioners have filed this application despite their action pending in the proper forum. In ***Perera v. Wijewickreme*** 15 NLR 411, His Lordship Pereira J. held:

> *"It was not granted unless no other remedy was available to the applicant or unless restitution was the more effectual remedy"*
> *In the same Judgemnet by his Lordship Ennis J. held:*
>
> *"This is an application for restitutio in integrum. It appears clear that such an application is not granted in Ceylon if any other remedy is available."*

19] Moreover, in ***Menchinahamy v. Muniweera*** 52 NLR 409 his Lordship Dias J. held:

> *"Restitutio in integrum is not available if the petitioner has another remedy open to her."*

20] Thus, while seeking redress from alternative remedies, the Petitioners have filed this application which is clearly abuse of process.

21] In ***Sri Lanka Insurance Corporation Ltd v. Shanmugam &Another*** [1995] 1 SLR 55 his Lordship Ranaraja J. held extensively where restitution is available as;

> *"Superior courts of this country have held that relief by way of restitution in integrum in respect of judgments of original courts may be sought where (a) the judgments have been obtained by fraud, (Abeysekera-supra), by the production of false evidence, (Buyzerv.Eckert), or non-disclosure of material facts, (Perera v. Ekanaike), or where judgment has been obtained by force or fraud, (Gunaratne v.Dingiri Banda, Jayasuriya v. Kotelawela). (b) Where fresh evidence has cropped up since judgment which was unknown earlier to the parties relying on it, (Sinnethamby-supra), and fresh evidence which no reasonable diligence could have helped to disclose earlier, (c) Where judgments have been pronounced by mistake and decrees entered thereon, (Sinnethamby-supra), provided of course that it is an error which connotes a reasonable or excusable error, (Perera v. Don Simon). The remedy could therefore be availed of where an Attorney-at-Law has by mistake consented to judgment contrary to express instructions of his client, for in such cases it could be said that there was in reality no consent, (Phipps-Supra, Narayan Chetty v. Azeez), but not where the Attorney-at-Law has been given a general authority to settle or compromise a case, (Silva v. Fonseka)."*

22] This is a restitutio in integrum /revision application, which is a discretionary remedy where the conduct of the party applying for the relief is intensely relevant. I am of the view that the conduct of the Petitioners cannot be pardoned as there are two filed applications for the same matter in two courts.

23] Furthermore, the extraordinary remedy of restitution is available only if the Petitioners could satisfy this Court of the existence of well-established grounds which have been propounded over the years. These grounds include fraud, false evidence, non-disclosure of material fact, deception, fresh evidence, and mistake. Nothing of which has been satisfactorily made out in the case in hand.

24] In the above circumstances, we dismiss the application with costs.

JUDGE OF THE COURT OF APPEAL

R. GURUSINGHE J.

I agree

JUDGE OF THE COURT OF APPEAL